
FOREWORD

Jerry Parker

My trend-following journey started over 40 years ago when I was in my twenties. I read everything I could find on trend following, trading, markets, futures, and stocks. I was instantly hooked and I knew I needed to exit the accounting field and find my way into the exciting life of a trader. I was open-minded about futures, commodities, shorting, leverage, and especially trend following. I thought trend following was the greatest thing I'd ever heard about. I believed in it from cover to cover as soon as I heard the phrase "take small losses and let profits run." My question was: would the infrequent big winning trades pay for the frequent losses? I didn't know but I wanted to find out.

Books like *Following the Trend* were hard to find back in those days but I was on a hunt and I would not be denied a place in the trend-following world. When I got my big opportunity to work for Richard Dennis, I was ready. Well, at least I thought I was ready. I had a lot to learn and they were the best teachers, real geniuses.

I learned that the best trend-following rules are not complex and they are not overly optimized. The best trend-following systems have only a few rules. I have been tempted over the years to make my system more complex but that has only resulted in fewer profits and me having to revert back to the basic rules of trend following that make sure you never miss a big trade and that you continually and, in all situations, limit the losses to a small percentage of your AUM. "Keep it simple" really does work better than complexity. Of course, I got better at system development and discipline as I became more experienced but frequently I thought, "I wish I didn't know